MICROECONOMICS

MICRO-58

Time: 5 minutes

Outcome: Use a budget constraint and preferences to identify the best affordable bundle.

Difficulty: Intermediate

Consumer Choice

THE CORE IDEA

A budget constraint shows every bundle a consumer can afford at given income and prices. Its intercepts are income divided by each good's price, and its slope is the negative relative price. Preferences rank feasible bundles; the optimum is the highest attainable indifference curve, usually where MRS equals the price ratio.

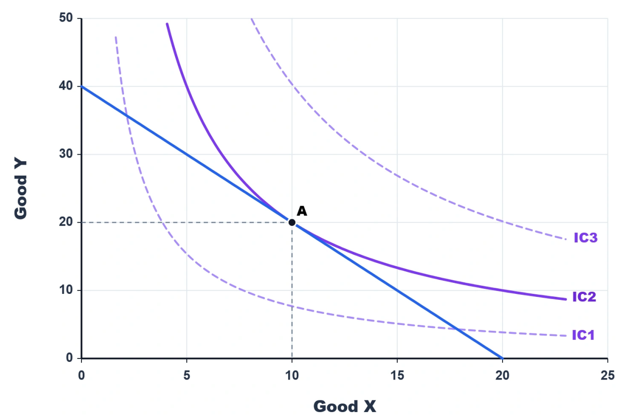
HOW TO RECOGNIZE IT

- Bundles inside or on the budget line are feasible; bundles outside it are infeasible.
- An income change shifts the line in parallel when prices are fixed.
- A change in one price pivots the line around the unchanged intercept.
- At an interior optimum, marginal utility per dollar is equal across goods.

WATCH OUT

Spending the whole budget is not enough to prove optimality. The chosen bundle must also provide the highest attainable preference ranking.

WORKED EXAMPLE: BEST AFFORDABLE BUNDLE



The budget line reaches 20 units of X or 40 units of Y, so its slope is -2. Bundle A contains 10 units of X and 20 of Y. At A, the budget line is tangent to IC2, the highest attainable indifference curve. IC3 is preferred but lies outside the feasible set, while IC1 is attainable but provides a lower ranking.

CHECK YOURSELF

If only the price of Y falls, does the budget line shift in parallel or pivot?

READY? Return to the game and master this concept.